

SOURCEBOOK

SYSC Senior Management Arrangements, Systems and Controls

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CHAPTER

SYSC 8 Outsourcing

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Application to a common platform firm

SYSC 8.1.-2

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For a *common platform firm*:

- (1) [deleted]
- (2) the *rules* and *guidance* apply as set out in the table below:

Subject	Applicable rule or guidance
General requirements	<i>SYSC 8.1.1R, SYSC 8.1.2G, SYSC 8.1.3G</i>
Scope of critical and important operational functions	<i>SYSC 8.1.4AR, SYSC 8.1.5R</i>
Outsourcing critical or important operational functions	<i>SYSC 8.1.6-AR to SYSC 8.1.8R, SYSC 8.1.9R, SYSC 8.1.10R, SYSC 8.1.11-AR, SYSC 8.1.11-BR, SYSC 8.1.11-CG, SYSC 8.1.12G</i>

Application to an MiFID optional exemption firm and to a third country firm

SYSC 8.1.-1

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For a *MiFID optional exemption firm* and a *third country firm*:

- (1) the *rules* and *guidance* in this chapter apply to them as if they were *rules* or as *guidance* in accordance with *SYSC 1 Annex 1 3.2CR*(1).
- (2) [deleted]

General requirements

SYSC 8.1.1

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A *common platform firm* must:

- (1) when relying on a third party for the performance of operational functions which are critical for the performance of *regulated activities*, *listed activities* or *ancillary services* (in this chapter "relevant services and activities") on a continuous and satisfactory basis, ensure that it takes reasonable steps to avoid undue additional operational risk; and
- (2) not undertake the *outsourcing* of important operational functions in such a way as to impair materially:
 - (a) the quality of its internal control; and
 - (b) the ability of the *FCA* to monitor the *firm's* compliance with all obligations under the *regulatory system* and, if different, of a *competent authority* to monitor

the *firm's* compliance with all obligations under *MiFID*.

[**Note:** article 16(5) first paragraph of *MiFID*]

- SYSC 8.1.1A** **G** Other *firms* should take account of the outsourcing *rule* (*SYSC 8.1.1 R*) as if it were *guidance* (and as if should appeared in that *rule* instead of must) as explained in *SYSC 1 Annex 1* 3.3R(1).
- SYSC 8.1.2** **G** The application of *SYSC 8.1* to relevant services and activities (see *SYSC 8.1.1 R (1)*) is limited by *SYSC 1 Annex 1 (Part 2)* (Application of the common platform requirements).
- SYSC 8.1.3** **G** *SYSC 4.1.1 R* requires a *firm* to have effective processes to identify, manage, monitor and report risks and internal control mechanisms. Except in relation to those functions described in *SYSC 8.1.5R*, where a *firm* relies on a third party for the performance of operational functions which are not critical or important for the performance of relevant services and activities (see *SYSC 8.1.1 R (1)*) on a continuous and satisfactory basis, it should take into account, in a manner that is proportionate given the nature, scale and complexity of the *outsourcing*, the *rules* in this section in complying with that requirement.

Scope of critical and important operational functions

- SYSC 8.1.4** **R** For the purposes of this chapter an operational function is regarded as critical or important if a defect or failure in its performance would materially impair the continuing compliance of a *firm* (other than a *common platform firm*) with the conditions and obligations of its *authorisation* or its other obligations under the *regulatory system*, or its financial performance, or the soundness or the continuity of its relevant services and activities.
- SYSC 8.1.4A** **R** For the purposes of this chapter, an operational function is regarded as critical or important if a defect or failure in its performance would materially impair the continuing compliance of a *common platform firm* with the conditions and obligations of its *authorisation* or its other obligations under the *UK law on markets in financial instruments*, or its financial performance, or the soundness or the continuity of its *designated investment business*.
- SYSC 8.1.5** **R** For a *common platform firm* and without prejudice to the status of any other function, the following functions will not be considered as critical or important for the purposes of this chapter:
- (1) the provision to the *firm* of advisory services, and other services which do not form part of the relevant services and activities of the *firm*, including the provision of legal advice to the *firm*, the training of personnel of the *firm*, billing services and the security of the *firm's* premises and personnel;
 - (2) the purchase of standardised services, including market information services and the provision of price feeds;
 - (3)

the recording and retention of relevant telephone conversations or electronic communications subject to **SYSC 10A**.

SYSC 8.1.5A

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Other *firms* should take account of the critical functions *rules* (**SYSC 8.1.4 R** and **SYSC 8.1.5 R**) as if they were *guidance* (and as if should appeared in those *rules* instead of must) as explained in **SYSC 1 Annex 1** 3.3R(1).

Outsourcing critical or important operational functions

SYSC 8.1.6

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If a *firm* (other than a *common platform firm*) *outsources* critical or important operational functions or any relevant services and activities, it remains fully responsible for discharging all of its obligations under the *regulatory system* and must comply, in particular, with the following conditions:

- (1) the *outsourcing* must not result in the delegation by *senior personnel* of their responsibility;
- (2) the relationship and obligations of the *firm* towards its *clients* under the *regulatory system* must not be altered;
- (3) the conditions with which the *firm* must comply in order to be *authorised*, and to remain so, must not be undermined;
- (4) none of the other conditions subject to which the *firm's authorisation* was granted must be removed or modified.

SYSC 8.1.6A

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If a *common platform firm* *outsources* critical or important operational functions, it remains fully responsible for discharging all of its obligations under the *UK law on markets in financial instruments* and must comply with the following conditions:

- (1) the *outsourcing* must not result in the delegation by *senior management* of their responsibility;
- (2) the relationship and obligations of the *firm* towards its *clients* under the *UK law on markets in financial instruments* must not be altered;
- (3) the conditions with which the *firm* must comply in order to be *authorised*, and to remain so, must not be undermined;
- (4) None of the other conditions subject to which the *firm's authorisation* was granted must be removed or modified.

SYSC 8.1.6A

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A *UCITS investment firm* should take account of the provisions that apply to a *common platform firm* in relation to its *MiFID business* in accordance with **SYSC 8.1.-2G**.

SYSC 8.1.7

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A *common platform firm* must exercise due skill and care and diligence when entering into, managing or terminating any arrangement for the *outsourcing* to a service provider of critical or important operational functions or of any relevant services and activities.

SYSC 8.1.8

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A *common platform firm* must in particular take the necessary steps to ensure that the following conditions are satisfied:

- (1)

the service provider must have the ability, capacity, appropriate organisational structure supporting the performance of the *outsourced* functions, and any authorisation required by law to perform the *outsourced* functions, services or activities reliably and professionally;

(2)

the service provider must carry out the *outsourced* services effectively, and in compliance with applicable laws and regulatory requirements, and to this end the *firm* must establish methods for assessing the standard of performance of the service provider and for reviewing on an ongoing basis the services provided by the service provider;

(3)

the service provider must properly supervise the carrying out of the *outsourced* functions, and adequately manage the risks associated with the *outsourcing*;

(4)

appropriate action must be taken if it appears that the service provider may not be carrying out the functions effectively and in compliance with applicable laws and regulatory requirements;

(5)

the *firm* must effectively supervise the *outsourced* functions or services and manage the risks associated with the *outsourcing*, and to this end the *firm* must retain the necessary expertise and resources to supervise the *outsourced* functions effectively and to manage those risks;

(6)

the service provider must disclose to the *firm* any development that may have a material impact on its ability to carry out the *outsourced* functions effectively and in compliance with applicable laws and regulatory requirements;

(7)

the *firm* must be able to terminate the arrangement for the *outsourcing* where necessary, with immediate effect when this is in the interest of its *clients*, without detriment to the continuity and quality of its provision of services to *clients*;

(8)

the service provider must co-operate with the *FCA* and any other relevant *competent authority* in connection with the *outsourced* activities;

(9)

the *firm*, its auditors, the *FCA* and any other relevant competent authority must have effective access to data related to the *outsourced* activities, as well as to the business premises of the service provider, where necessary for the purpose of effective oversight in accordance with this provision; and the *FCA* and any other relevant competent authority must be able to exercise those rights of access;

(10)

the service provider must protect any confidential information relating to the *firm* and its *clients*;

(11)

the *firm* and the service provider must establish, implement and maintain a contingency plan for disaster recovery and periodic testing of backup facilities where that is necessary having regard to the function, service or activity that has been *outsourced*.

(12) the *firm* must ensure that the continuity and quality of the *outsourced* functions or services are maintained also in the event of termination of the *outsourcing* either by transferring the *outsourced* functions or services to another third party or by performing them itself.

SYSC 8.1.9	R	A <i>common platform firm</i> must ensure that the respective rights and obligations of the <i>firm</i> and of the service provider are clearly allocated and set out in a written agreement. In particular, the <i>firm</i> must keep its instruction and termination rights, its rights of information, and its right to inspections and access to books and premises. The agreement must ensure that <i>outsourcing</i> by the service provider only takes place with the <i>firm's</i> consent in writing.
SYSC 8.1.10	R	If a <i>common platform firm</i> , and the service provider are members of the same <i>group</i> , the <i>firm</i> may, for the purpose of complying with SYSC 8.1.6-AR, SYSC 8.1.7 R to SYSC 8.1.10R, SYSC 8.1.11-BR and SYSC 8.1.11-CG, take into account the extent to which the <i>common platform firm controls</i> the service provider or has the ability to influence its actions.
SYSC 8.1.11	R	A <i>firm</i> (other than a <i>common platform firm</i>) must make available on request to the <i>FCA</i> all information necessary to enable the <i>FCA</i> to supervise the compliance of the performance of the <i>outsourced</i> activities with the requirements of the <i>regulatory system</i> .
SYSC 8.1.11-A	R	A <i>common platform firm</i> must make available on request to the <i>FCA</i> all information necessary to enable the <i>FCA</i> to supervise the compliance of the performance of the <i>outsourced</i> activities with the requirements of the <i>UK law on markets in financial instruments</i> .
SYSC 8.1.11-B	R	In addition to the requirements in SYSC 8.1.6-AR, SYSC 8.1.7R to SYSC 8.1.10R and SYSC 8.1.11-AR, where a <i>common platform firm outsources</i> functions related to <i>portfolio management</i> provided to <i>clients</i> to a service provider located in a <i>third country</i>, the <i>firm</i> must ensure that the following conditions are satisfied: (1) the service provider is authorised or registered in its home jurisdiction to provide that service and is effectively supervised by a <i>regulatory body</i> in that <i>third country</i>; and (2) there is an appropriate cooperation agreement between the <i>FCA</i> and the <i>regulatory body</i> of the service provider.
SYSC 8.1.11-C	G	For the purposes of the cooperation agreement referred to in SYSC 8.1.11-BR(2): (1) If the <i>FCA</i> enters into such agreement with a <i>regulatory body</i> in a <i>third country</i>, the <i>FCA</i> would include provisions to: (a) obtain on request the information necessary to carry out their supervisory tasks pursuant to the <i>UK law on markets in financial instruments</i>; (b) obtain access to the documents relevant for the performance of their supervisory duties maintained in the <i>third country</i>; (c) receive information from the <i>regulatory body</i> in the <i>third country</i> as soon as

possible for the purpose of investigating apparent breaches of the requirements under the *UK law on markets in financial instruments*;

(d) cooperate with regard to enforcement, in accordance with the national and international law applicable to the *regulatory body* in a *third country* and the *FCA* in the *United Kingdom* in cases of breach of the requirements under the *UK law on markets in financial instruments*.

(2) The *FCA* publishes on its website a list of the cooperation agreements with *regulatory bodies* in *third countries*.

[**Note:** The list of *FCA's* cooperation agreements with *regulatory bodies* in *third countries* can be found at: <https://www.fca.org.uk/publication/corporate/outsourcing-portfolio-management-list-cooperation-agreements-2018.pdf>]

SYSC 8.1.11A

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Other *firms* should take account of the outsourcing of important operational functions *rules* (*SYSC 8.1.7 R* to *SYSC 8.1.11 R*) as if they were *guidance* (and as if should appeared in those *rules* instead of must) as explained in *SYSC 1 Annex 1 3.3R(1)*.

SYSC 8.1.12

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As *SUP 15.3.8 G* explains, a *firm* should notify the *FCA* when it intends to rely on a third party for the performance of operational functions which are critical or important for the performance of relevant services and activities on a continuous and satisfactory basis.

Additional requirements for a management company

SYSC 8.1.13

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A *management company* must retain the necessary resources and expertise so as to monitor effectively the activities carried out by third parties on the basis of an arrangement with the *firm*, especially with regard to the management of the risk associated with those arrangements.

[**Note:** article 5(2) of the *UCITS implementing Directive*]

SYSC 8.1.14

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A *management company* should be aware that *SUP 15.8.6 R* (Delegation by UCITS management companies) and *COLL 6.6.15A R* (Committees and delegations) contain requirements implementing article 13 of the *UCITS Directive* in relation to delegation that will apply to it.